

Bhaghu v. State of U.P. & 4 Others

High Court of Judicature at Allahabad · Division Bench · 3 February 2023 · Writ - C No. 9041 of 2018 · **Writ petition disposed of: the impugned recovery citation dated 6.2.2018 (for theft dues of Rs. 1,05,120/-) is quashed, the respondent-Electricity Department having conceded that the procedure prescribed under the U.P. Electricity Supply Code, 2005 was not followed, and it is left open to the respondent to pass a fresh order after following that procedure and affording the petitioner a personal hearing to decide his objection.**

Source file: WRIC(A)_9041_2018.pdf

HEADNOTE

The petitioner challenged a recovery citation dated 6.2.2018 issued for recovery of electricity dues of Rs. 1,05,120/- in a case of alleged theft of electricity, contending that the demand and the antecedent recovery certificate dated 15.7.2017 had been raised without initiating any proceedings under Section 126 of the Electricity Act, 2003 read with Clause 6.8 of the U.P. Electricity Supply Code, 2005 and without affording any opportunity of hearing. A co-ordinate Bench had stayed recovery on 12.3.2018 and the interim order was continued through successive listings. On final hearing, counsel for the respondent-Electricity Department conceded that the proper procedure prescribed under the Supply Code, 2005 had not been followed and undertook that the petitioner's objection would be decided by a fresh order after affording him a personal hearing. The Division Bench accordingly quashed the impugned citation, leaving it open to the respondent to pass a fresh order after following the procedure prescribed under the Supply Code, and disposed of the petition without examining the merits of the theft allegation or the quantum of the demand.

FACTUAL SUMMARY

The petitioner, Bhaghu, filed Writ - C No. 9041 of 2018 challenging a recovery citation dated 6.2.2018 issued by respondent no. 3 for recovery of electricity dues of Rs. 1,05,120/- in a case of alleged theft of electricity. According to the petitioner, respondent no. 5 had held him liable and issued a recovery certificate dated 15.7.2017 (pursuant to which the impugned citation was issued) without initiating any proceedings under Section 126 of the Electricity Act, 2003 read with Clause 6.8 of the U.P. Electricity Supply Code, 2005 and without affording any opportunity of hearing, the specific averments being made in paragraphs 20 and 21 of the writ petition. On 12.3.2018 a co-ordinate Division Bench, while entertaining the petition, stayed the recovery proceedings pursuant to the impugned citation; the interim order was extended repeatedly through several benches between 2018 and 2023. The matter was finally heard and disposed of by a Division Bench on 3.2.2023. The petitioner was represented by Sri Vineet Kumar Singh and the respondent-Electricity Department by Ms. Rishu Mishra (with Sri Kapil Dev Singh Rathore).

REUSABLE CONSTRUCTIONS

1. The recovery of theft dues must be preceded by the assessment procedure under Section 126 of the Electricity Act, 2003 read with Clause 6.8 of the U.P. Electricity Supply Code, 2005, including an opportunity of hearing to the consumer; a recovery citation issued without that procedure is liable to be quashed. **orders of 12.3.2018 and 3.2.2023**
2. Where the licensee concedes that the Supply Code procedure was not followed, the recovery citation is quashed and the matter remitted, leaving the licensee free to pass a fresh order after following the procedure and deciding the consumer's objection after a personal hearing. **order of 3.2.2023**

HOLDING-UNITS

INTERPLAY · UP-2005::6.8(b)

RATIO

Theft-dues recovery requires the Section 126 / Clause 6.8 assessment procedure and an opportunity of hearing; conceded non-compliance leads to quashing and remit

QUESTION

Can a recovery citation for theft dues be sustained where the demand was raised without initiating any proceeding under Section 126 of the Electricity Act, 2003 read with Clause 6.8 of the U.P. Electricity Supply Code, 2005 and without affording the consumer any opportunity of hearing?

HOLDING

No. The recovery of theft dues must be preceded by the assessment procedure contemplated under Section 126 of the Electricity Act, 2003 read with Clause 6.8 of the U.P. Electricity Supply Code, 2005, including an opportunity of hearing to the consumer. Where, as here, the respondent-Electricity Department concedes that the proper procedure prescribed under the Supply Code, 2005 was not followed, the impugned recovery citation cannot be sustained and is quashed, leaving it open to the licensee to pass a fresh order after following the prescribed procedure and deciding the consumer's objection after a personal hearing. **orders of 12.3.2018 and 3.2.2023**

QUALIFIER

The quashing rests on the department's concession of non-compliance; the Court expressed no view on the merits of the theft allegation or the quantum of the demand, which are left to the fresh order on remand.

EVIDENCE “without initiating any proceedings as contemplated under Section 126 of the Electricity Act, 2003 read with clause 6.8 of the U.P. Electricity Supply Code, 2005, respondent no. 5 has illegally and arbitrarily and without affording any opportunity of hearing to the petitioner held the petitioner liable to pay a sum of Rs.1,05,120/- towards electricity dues” **order of 12.3.2018, reproduced in the order of 3.2.2023**

EVIDENCE “Ms. Rishu Mishra, learned counsel appearing on behalf of respondent-Electricity Department concedes that proper procedure as prescribed under the Electricity Supply Code, 2005 was not followed.” **order of 3.2.2023**

EVIDENCE “Accordingly, the impugned citation is quashed leaving it open to the respondent to pass fresh order after following the procedure prescribed under the Electricity Supply Code, 2005.” **order of 3.2.2023**

FLAG Source is an order-sheet spanning 12.3.2018 to 3.2.2023 with no printed page numbers and no numbered paragraphs; pins are to order dates.

PRINCIPLE TAGS

code-procedure-and-hearing-before-theft-recovery Before recovering theft dues the licensee must follow the Section 126 / Clause 6.8 assessment procedure and afford the consumer a personal hearing; conceded non-compliance leads to quashing of the recovery citation and a remit for a fresh order. **orders of 12.3.2018 and 3.2.2023**

recovery-citation-quashed-and-remitted-for-fresh-order A recovery citation issued without the prescribed Supply Code procedure is quashed, leaving it open to the licensee to pass a fresh order after following the procedure and hearing the consumer's objections. **order of 3.2.2023**

NOT DECIDED — NEGATIVE AUTHORITY

NOT DECIDED — THE MERITS OF THE ALLEGED THEFT OF ELECTRICITY AND THE CORRECTNESS OF THE DEMAND OF RS. 1,05,120/-.

Left to the fresh order on remand; the Court quashed the citation on the conceded procedural non-compliance without examining the merits. **order of 3.2.2023**

RELATED CASES — SEE ALSO

SCJ-2197 — Rishikesh Vishwakarma v. State of U.P. - recovery citation in a theft case quashed for want of the Clause 6.8(b) opportunity of hearing and a valid final assessment; closely parallel remit for fresh assessment.

SCJ-2196 — Ruby Ice Factory v. State of U.P. - decided by the same Division Bench on the same day (3.2.2023); a Section 126 assessment quashed for want of the mandatory personal hearing and remitted.

SCJ-1227 — Theft citation quashed for want of a Clause 6.8(b) opportunity - a citation cannot stand unless the licensee shows the provisional assessment was served and the consumer heard.

SCJ-1226 — Recovery certificate founded on an unserved provisional assessment quashed for failing Clause 6.8(b); sibling on the procedure-and-service requirement before recovery.